

The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · Naval shipbuilding, ship repair, and fleet sustainment

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The Navy's May shipbuilding plan says three things about maintenance that belong together, and this issue takes them one at a time. It is abandoning the long, everything-at-once availability. It says its own handling of intellectual property has produced "excessive non-competitive sole-source awards" that degrade organic repair capability, and there is a \$399.6 million contract pair showing exactly what that looks like on one destroyer class. And a House committee has reported a bill that would assign whole categories of surface combatant to single yards for five-year terms, which is still text on a page and cannot be awarded until a report reaches Congress.

Running underneath is the forward yard at Yokosuka, which delivered seven ships on or ahead of schedule between January and April and then lost its entire command team in June, for the second time in twenty months. Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's analysis, built only on facts stated above it; Speculation is flagged as such.

WATERFRONT OPS & PRODUCTION

Two command teams gone in twenty months, and the delivery record never moved

FACT: the Defense Visual Information Distribution Service reported on March 27, 2026 that the Naval Ship Repair Facility and Japan Regional Maintenance Center at Yokosuka completed maintenance periods on three warships in January, returning the destroyers USS *Howard* and USS *Higgins* and the mine countermeasures ship USS *Chief* to the fleet on or ahead of schedule, and quoted commanding officer Capt. Wendel Penetrante saying "completing CNO availabilities on time is a tremendous effort; accomplishing them ahead of schedule is even more challenging." A Chief of Naval Operations availability is a maintenance period large enough that Navy headquarters, not a local command, owns its schedule and its money.

FACT: the Navy reported on May 13, 2026 that the same command returned the destroyer USS *Ralph Johnson* to the fleet on time on April 6, and that "this year, SRF-JRMC has delivered all seven of its completed ships to the fleet on time or ahead of schedule," being two mine countermeasures ships, three destroyers and an amphibious transport dock between January and April. FACT: the Defense Visual Information Distribution Service reported on June 28, 2026 that the command then returned the destroyer USS *Shoup* and the aircraft

carrier USS *George Washington* on time on May 11 and May 13.

FACT: the Navy announced on June 3, 2026 that Rear Adm. Dan Lannamann, commander of Navy Regional Maintenance Center, had relieved the commanding officer, the executive officer and the command master chief "due to a loss of confidence in their ability to command," that the Supervisor of Salvage and Diving had temporarily assumed the commanding officer's duties, and that "there is no impact to the command's mission as a result of these reliefs." FACT: USNI News reported on June 4, 2026 that a source familiar with the decision said the reliefs were due to conduct, not performance, but was unable to provide further details. FACT: Stars and Stripes reported on June 3, 2026 that this was the second such removal in twenty months, that the previous commanding officer and executive officer were relieved in October 2024, and that Rear Adm. Lannamann had himself temporarily commanded the facility after those removals until Capt. Penetrante took over in February 2025.

Assessment: the sequence is seven ships on or ahead of schedule from January to April, two more on time in May, and in June the entire command team removed, for the second time since October 2024. The deliveries were completed before the removals, and the only sourced account of cause says conduct rather than performance, so nothing in this record suggests the output was a leadership product that left with the leaders.

FACT: the Navy's and the Defense Visual Information Distribution Service's releases both credit a specific group. In the March and the May releases Capt. Penetrante attributed the results to "the dedication and professionalism of the ships' crews, the ship superintendents and their teams, and the entire SRF-JRMC organization," and both releases describe the availabilities as work bringing together the ship's crew, the command's Japanese master labor contractors, local Japanese contractors and US-based companies. FACT: Stars and Stripes reported that the organisation employs approximately 120 military personnel, 325 civilians and 2,500 Japanese workers across Yokosuka, Sasebo and Singapore, and that Capt. Penetrante had cited more than 714,000 man-days of repair and modernization work for calendar 2025.

Assessment: of roughly 2,945 people, 120 are military. The command replaced its three most senior uniformed positions twice in twenty months; the other 2,825 were there for all of it, and so was the delivery record. Master labor contractors are the Japanese employees hired under the labour agreement between the two

governments, which is a workforce a US yard cannot replicate, but the superintendent layer named alongside them is one every yard has.

FACT: on recognition from above, the most recent this desk found is dated: the Navy announced in September 2023 that the command had won the fiscal 2022 Chief of Naval Operations Shore Safety Award in the Large Industrial Activity category and the fiscal 2022 Secretary of the Navy Safety Excellence Award, having also won the CNO award in 2021, and quoted the command's civilian Executive Director, John Lund, saying "I am very proud of our Japanese and American workers who watch out for each other."

Assessment: that a civilian Executive Director sits alongside the rotating military triad is the transferable point. A command that absorbs two leadership removals without a delivery slip has its continuity somewhere, and the two candidates named in its own releases are the senior civilian executive and the ship superintendents. The bench that carried this one is not the one at the top of the organisation chart.

Open question, and it is the one that would settle this: whether anything has slipped since June. No delivery announcement from the command after June 28, 2026 was found for this issue, which is not evidence either way — a quiet two months is what a normal summer looks like. The next delivery release is the test.

Bottom line: seven on-time deliveries, then the whole command team removed, twice in twenty months, with 2,825 of about 2,945 people unchanged throughout — a case for treating the superintendent bench and the senior civilian layer as the thing that holds a schedule, pending the first post-relief delivery.

Sources: SRF-JRMC bolsters fleet readiness, delivers three warships on or ahead of schedule; SRF-JRMC continues to deliver warships to fleet on time; Navy relieves SRF-JRMC commanding officer, executive officer, and command master chief; Second leadership purge in 2 years; SRF-JRMC wins CNO Shore Safety Award, SECNAV Safety Excellence Award {sources}

OPERATIONS MAINTENANCE & READINESS

Smaller, more frequent availabilities: what that does to a schedule, and to a hull

FACT: the Navy Shipbuilding Plan of May 2026 states that "increased operational tempo continues to strain execution of established class maintenance plans," that "the Navy will no longer attempt to restore all capabilities and add upgrades in a single, lengthy maintenance availability," and that it is "integrating operations and maintenance into a maintenance continuum that will use smaller, more frequent availabilities to do needed work while increasing operational availability." A class maintenance plan is the engineering schedule saying which inspections and

renewals a class of ship needs and when, and it is the document that protects material condition across a service life.

FACT: the same plan states "we must fix our maintenance schedules with disciplined planning measured to the hour, because every day a ship sits in dry dock beyond plan is a day we lend initiative to an adversary," and describes a "World Class Planning" approach using artificial intelligence and machine learning, "digital twins" that "virtually replicate its ships and simulate decades of wear," and prediction of "which parts will be needed months in advance." **FACT:** it also states the Navy is "implementing an innovative set of contracting strategies like multi-ship sustained partnerships in private shipyards" and "awarding contracts earlier for complex maintenance to increase planning time and material procurement."

Assessment: the plan states the chain itself. Operational tempo is straining the class maintenance plan; rather than defend the plan, the Navy is changing the delivery model so ships come back faster. The objective it names is increasing operational availability, which means days at sea, and the mechanism is doing less per visit and visiting more often.

Assessment: for a yard executing this, the first effect is churn rather than volume. Annual man-days can hold flat while availability starts and finishes rise, and those are different planning problems. Each start needs a work package, a crew assignment and a material call; each finish needs a test program and a turnover. A yard sized on man-days can be correctly sized and still late, because the binding constraint moves to how many simultaneous starts its planning and superintendent capacity can carry.

Assessment, and this is the part the plan does not address: what happens to work that only fits in a long availability. Some renewals are not divisible. Tank and void preservation, shaft and stern tube work, main reduction gear access, and hull structure behind installed equipment all need the ship open, dry and torn down, and the cost of opening is largely fixed however much work you do once you are in. Splitting one long availability into several short ones either pays that opening cost repeatedly or defers the work that requires it. The plan states the tempo problem and states the delivery-model answer. It does not say which of those two outcomes it expects.

Speculation, flagged as such: if deferral is what happens, the signature would be a widening gap between planned and actual growth work — the additional work discovered once a ship is opened up — appearing as more of it found late in shorter availabilities. This desk has no data showing that. It is offered as the thing to watch, not as a finding.

Bottom line: plan for more starts and finishes rather than more hours, and treat the indivisible docking work as the risk this change carries, because the plan names the tempo problem and the delivery answer without saying what becomes of work that cannot be split.

Sources: *Navy Shipbuilding Plan, May 2026* {sources}

MAINTENANCE ENGINEERING & TECHNOLOGIES

The Navy says its own IP practice creates sole-source lock-in. Here is what one looks like.

FACT: the Navy Shipbuilding Plan of May 2026 states that “the DON has systematically undervalued its IP rights during contract formulation, resulting in proprietary lock-in on technical data packages, software, and sustainment data,” and that “this has led to excessive non-competitive sole-source awards in follow-on procurement and sustainment, driving up total ownership costs and degrading the Department’s organic maintenance capability.” A technical data package is the drawings, specifications and procedures needed to make or repair a part; without rights to it, only the original manufacturer can lawfully supply or overhaul the item.

FACT: federal award records at USASpending show Naval Surface Warfare Center Philadelphia Division holding two indefinite-delivery vehicles with Johnson Controls Navy Systems LLC, one signed September 18, 2025 and running to September 17, 2028 at \$202,336,475 and one signed September 12, 2025 and running to September 14, 2028 at \$197,225,022, both coded “SINGLE AWARD,” “ONLY ONE SOURCE,” “NOT COMPETED” and “ONLY ONE SOURCE-OTHER (FAR 6.302-1 OTHER),” and both described as “NEW CONSTRUCTION UNIT MARINEPAK R-134A.” FACT: those same records show a total obligation of zero on both vehicles, so that \$399.6 million is contract capacity established rather than money spent.

FACT: the USASpending record for an April 23, 2026 order carrying the same “only one source” coding, worth \$8,022,276, describes it as “DDG 51 FLT II JOHNSON CONTROLS NAVY SYSTEMS (JCNS) HIGH EFFICIENCY SUPER CAPACITY (HESC) NEW CONSTRUCTION AIR CONDITIONING PLANTS AND BACKFIT KITS,” a backfit kit being the version fitted to a ship already in service rather than one under construction.

Assessment: the scope is a destroyer programme, not the fleet. These records name the DDG 51 class, and the April order covers backfit kits as well as new-construction plants, so this is not a case of in-service work queuing behind new hulls. It is a case of one class’s air conditioning plants, new and backfit alike, having exactly one lawful supplier, recorded as such by a contracting officer under FAR 6.302-1.

Assessment, with its limit stated first: nothing read here establishes that this particular arrangement is an

intellectual property case. A determination under FAR 6.302-1 can rest on data rights, but it can equally rest on qualification, tooling or a design nobody else has been approved to build. The document that would settle it is the Justification and Approval behind the award, and this desk has not read it. So treat the plan’s sentence and this record as two separate facts that describe the same condition, not as cause and instance.

Assessment: what the record does establish is worth the reading time anyway. “Only one source” is not a market opinion, it is a formal written determination that no alternative supplier exists. Where it appears against a component in your work package, the exposure is not price and not competition; it is that there is one queue and no second one to join. The cheap habit is to check how a long-lead item’s last award was coded before assuming a market exists behind it.

Bottom line: the Navy has written down that its own intellectual property practice manufactures sole-source dependence, and separately there is a documented one-source arrangement covering a destroyer class’s chiller plants new and backfit — read the competition coding on your long-lead items as a schedule input, and read the Justification and Approval before assuming you know why.

Sources: *Navy Shipbuilding Plan, May 2026; NSWC Philadelphia / Johnson Controls IDV N6449825D4018; NSWC Philadelphia / Johnson Controls IDV N6449825D4036; DDG 51 Flt II HESC chiller plants and backfit kits, order N6449826FX105* {sources}

BUSINESS PRACTICES & STRATEGY

The five-year, one-yard-per-category bill, and how far it is from real

FACT: section 1018 of H.R. 8800, as reported in the House, directs the Secretary of the Navy to enter a single indefinite-delivery, indefinite-quantity contract for the maintenance, repair and overhaul of “covered vessels” and to issue task orders “across availability periods” by private shipyards, “with a separate task order for each category of covered vessel,” makes the yard holding a task order responsible for “any routine, scheduled, or corrective life-cycle maintenance or repair activity of such vessels assigned to such shipyard,” and requires that no contractor’s term be “less than five years.” FACT: the section defines a covered vessel as “a surface combatant vessel, as such term is defined in section 8227(e) of title 10, United States Code.”

Assessment: two things that structure does not do are worth saying plainly. It is organised by category of ship rather than by port, so it is not a homeport-based assignment. And it is one contract with task orders beneath it rather than a set of separate awards, so the categories get decided once and then govern for at least five years.

FACT: the section bars entering the contract or issuing any task order until the Secretary submits a report to

the congressional defense committees, due not later than 180 days after enactment, containing the categories with “the number, classes, and anticipated availability schedules of vessels” in each, parts and supply-chain forecasting, “standardized work-item sequencing, bundling, and planning requirements,” an assessment of “the adequacy of facilities... including with respect to workforce capacity, dry dock and pier availability,” a cost baseline, and an identification of risks from “schedule disruptions, supply chain delays, or industrial base shortfalls.”

FACT: the section also requires metrics for contractor performance, schedule adherence, cost against baseline and “effects on the industrial base and workforce sustainment,” annual reports for five years, and provides at subsection (e) that the foreign shipyard restrictions of 10 U.S.C. § 8680 apply to any task order issued under it.

Assessment: so nothing has been awarded on this authority and nothing can be for some time. The sequence is enactment, then a report inside 180 days, then a contract, then task orders. The bill it sits in is committee-reported text, and this desk did not verify the floor status of either chamber’s bill for this issue, so no date should be inferred from any of the above.

Assessment: the document worth wanting is the report, not the award. A published statement of which classes group into which category, with anticipated availability schedules and an assessment of dry dock and pier adequacy, is the Navy writing down whose capacity it is counting on. That is useful whether or not the contract ever exists, and it arrives first.

Bottom line: a real structural proposal that is nowhere near real yet, and the thing to watch for is the 180-day report on categories and facility adequacy rather than a contract announcement.

Sources: *H.R. 8800, section 1018, as reported in the House* {.sources}

Deckplate: the grievance process went away, and the supervisor’s day changed with it

FACT: Government Executive reported in April 2026 that an April 9, 2026 memorandum from the Secretary of Defense directed termination of all collective bargaining agreements to which the department is a party within twenty-four hours, citing national security, that agreements already subject to a court order enjoining implementation were left alone, and that the memo’s exemptions covered agency police, guards and firefighters, and Federal Wage System workers at four named installations: Letterkenny Munitions Center, the Air Force Test Center, the Air Force Sustainment Center and Fleet Readiness Center Southeast. No naval shipyard appears on that list. The Federal Wage System is the pay schedule covering trades and craft workers, as distinct from the salaried General Schedule.

FACT: Maine Public reported on April 20, 2026 that at Portsmouth Naval Shipyard agreements covering several hundred workers were terminated, that the Portsmouth Metal Trades Council’s agreement survives only because of a court injunction, and quoted the American Federation of Government Employees’ David Gonzalez saying “when you take away collective bargaining, there’s no grievance process.” FACT: Government Executive reported in July 2026 that two federal unions had moved for a preliminary injunction to restore the agreements, documenting management telling members the union “does not exist any longer,” employees denied representation in disciplinary proceedings, and schedules changed unilaterally with little notice.

Assessment: set the politics aside and what the reported facts describe is procedural. On the account above, three things that had a defined path now do not: how a discipline case proceeds, how a schedule change is communicated, and where a complaint goes.

Assessment: the planning problem is that this may reverse on a court’s timetable rather than an operational one. One Portsmouth agreement already survives only by injunction and two unions are asking a court to restore the rest, so practices that do not depend on the outcome are the safer investment: writing down why a decision was made, and telling people about a schedule change before it happens, are things no agreement required and no termination removed.

Open question this issue does not answer: the position at Norfolk, Puget Sound and Pearl Harbor. The exemption list names no shipyard and Portsmouth is documented, but a yard-by-yard picture was not established.

Bottom line: the contractual machinery around discipline, scheduling and complaints has been removed at a comparable yard and is being litigated, so the durable move is the practice that works under either outcome.

Sources: *Hegseth orders termination of union contracts; Trump admin ends collective bargaining agreements with 2 Portsmouth Naval Shipyard unions; Unions ask for injunction restoring collective bargaining* {.sources}

The Waterfront Brief is compiled weekly by the B2 vault’s research engine from NAVSEA and Navy releases, DVIDS, USNI News, Stars and Stripes, Government Executive, Maine Public, congressional records and USASpending award records, then synthesized and labeled by hand (129 sources staged this week). Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners. Freshness policy: every article’s anchor source is under 12 months old; this issue’s anchors run from six weeks to four months old, and older material appears only as clearly dated context, which here means the fiscal 2022 safety awards reported in September 2023. Contract-record figures are read directly from the USASpending API rather than from press summaries. FACT means the named source says it, not that this desk has independently verified it; Assessment is analysis built only on facts stated above it. Corrections welcome; the staged sources are retained for audit.

UPCOMING EVENTS

Nearest first, filling the page (dates and registration deadlines exactly as organizers publish them). **Bold** marks a decision that closes inside the next 60 days.

Dates	Event	Register by	Why it matters
Aug 18-19, 2026	National Shipbuilding Research Program (NSRP) Electrical Technologies Panel Meeting, Pullman, WA (also virtual)	None published (Cvent link open)	The panel behind the fiber-optic switchboard-sensing pilot; tech transfer for electrical condition monitoring
Aug 24-25, 2026	NSRP Workforce & Compliance Panel Meeting, Pensacola, FL	In-person closed Aug 13, 2026	Cross-yard workforce practices while the Navy chases its 250,000-hire target
Aug 25-27, 2026	PSNS & IMF Sustainment Accelerator, Bremerton, WA (National Center for Manufacturing Sciences, with Puget Sound Naval Shipyard and Intermediate Maintenance Facility)	Not published	A public yard publishing the gaps it will be sold on: non-destructive testing, welding, portable power and machining, 3D scanning and metrology, confined-space monitoring, fibre-optic splicing, unmanned systems
Sep 22-24, 2026	Fleet Maintenance & Modernization Symposium 2026, Virginia Beach, VA (American Society of Naval Engineers, ASNE)	Early bird thru Aug 16, 2026	The flagship fleet-maintenance event for exactly this work
Sep 29 - Oct 2, 2026	Shipbuilders Council of America Fall Membership Meeting 2026, Washington, DC	Members only; none published	The surface-repair industrial base's Hill-and-Navy engagement window
Oct 28-29, 2026	Arctic Operations Symposium 2026, Baltimore, MD (ASNE)	Not published yet	Cold-region sustainment, hull and machinery readiness
Nov 16-17, 2026	Navy Procurement Outlook Summit, Reston, VA (Defense Leadership Forum)	Eventbrite open; no deadline published	Shipbuilding-plan and contracting priorities, with contracting-officer access
Dec 7-9, 2026	Technology, Systems & Ships / Combat Systems Symposium, Arlington, VA (ASNE)	Not published yet	Technology and ships exchange near the NAVSEA customer
Jan 26-28, 2027	Military Additive Manufacturing Summit, Tampa, FL	Tiers: Oct 2 / Dec 4; closes Jan 22	Metal and polymer print qualification and NAVSEA-spec adoption
Mar 23-25, 2027	NSRP All Panel Meeting 2027	"Coming soon" per NSRP	Where yard R&D ideas get socialized and teamed program-wide
Apr 12-15, 2027	RAPID + TCT 2027, Detroit, MI (SME)	None published	The largest additive show in North America; the market read behind the Danville pipeline
Jun 7-9, 2027	MegaRust 2027, Hampton, VA (ASNE)	Not open yet per ASNE	The Navy corrosion event; preservation is a top waterfront cost driver

Beyond the printed window, rolling in as it approaches: Indo Pacific 2027 International Maritime Exposition (Nov 2-4, 2027).